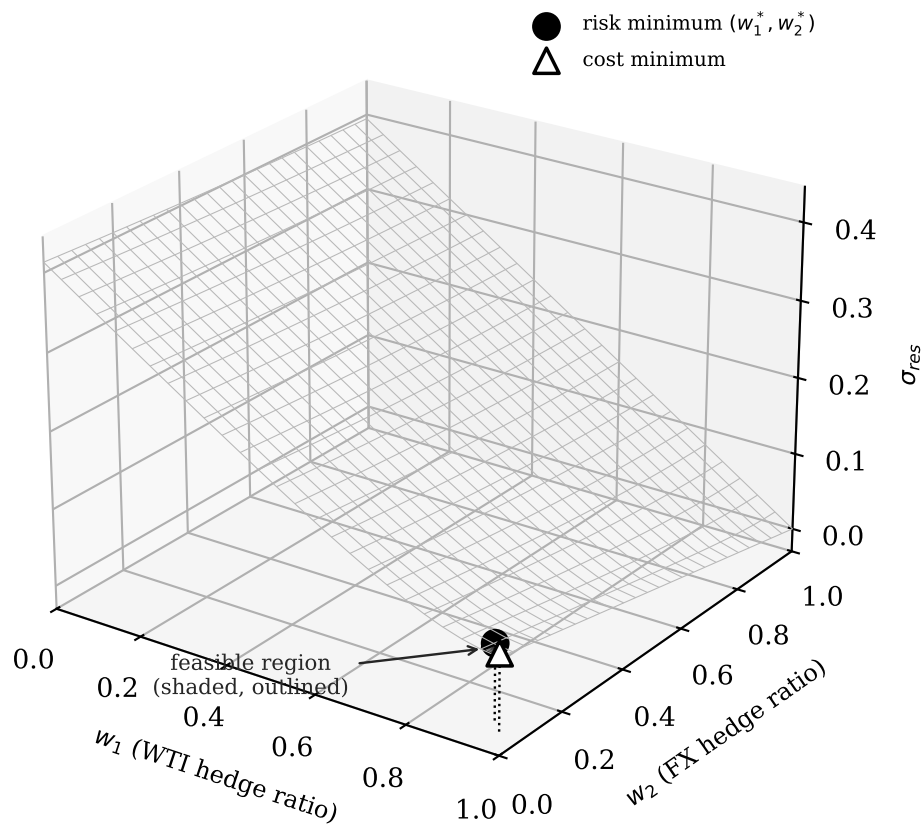


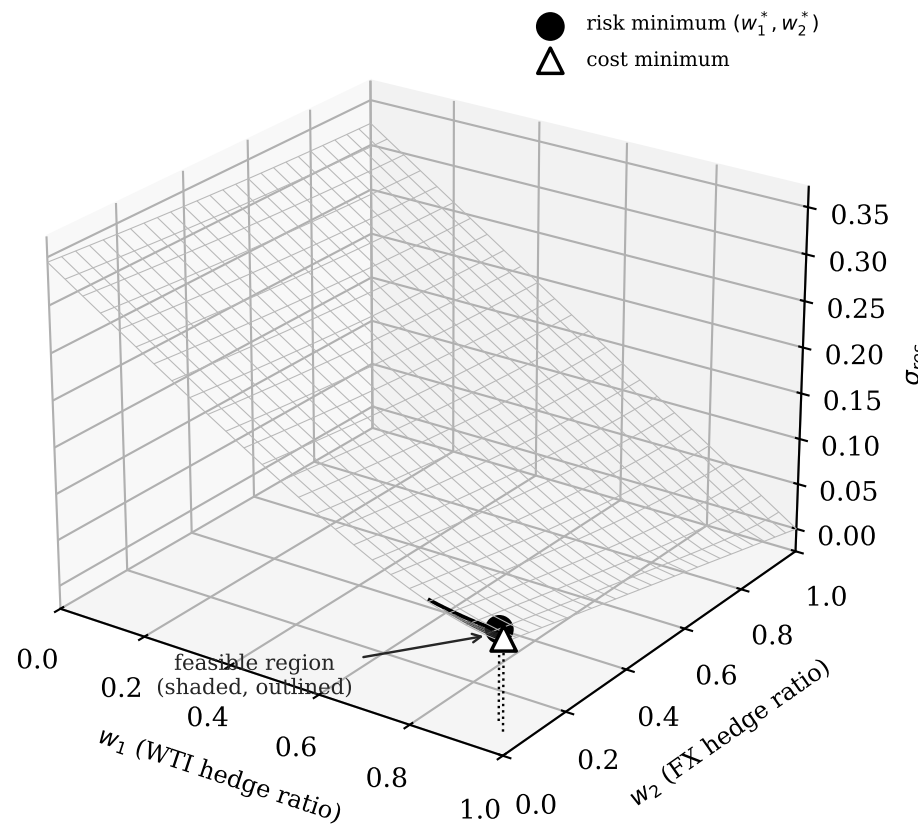
Residual-volatility surface  $\sigma_{res}(w_1, w_2)$ : feasible region (all four constraints) shaded, dark = low risk; infeasible region wireframe only. Top: full unit square. Bottom: 3-D zoom.

Vanilla (closed-form Black-76 / GK)



zoom onto the feasible region

Knock-out (LSMC)



zoom onto the feasible region

